

snapshots from various points in time are necessary but not sufficient. I like to review the last 10 years and examine the changes in retained earnings, debt, and overall capital intensity as compared to the top-line growth of the business itself. I will often summarize this over 10 years in a DuPont analysis, a framework for analyzing fundamental performance popularized by the DuPont Corporation. This technique is used to decompose the different drivers of return on equity (ROE), with profit margin, asset turns, and return on assets broken out by year.

It is through this kind of analysis that one can see changes in earning power over time. When companies or industries earn excess returns, it invites competition. The response to that competition can often be seen in a company's balance sheet. If a company generated \$10 billion of earnings over a trailing 10-year period, but its retained earnings remained flat while debt increased significantly, earnings may have grown, but the growing leverage on the balance sheet indicates that the company may need to run harder merely to stand still.

Balance sheets are also incredibly useful in identifying both funding sources and quality of earnings. We may find, for example, that a company has short-term variable-rate funding rather than longer-term fixed-rate liabilities. In such a situation, the income statement may report earnings that are artificially inflated because of a risky financing decision, making the company extremely vulnerable to rising rates. A risky balance sheet together with aggressive accounting practices can be a recipe for disaster. I find it interesting to take two very similar companies and align their accounting practices. When I compare such factors as their expensing versus capitalizing of expenses, gain on sale accounting versus long-term holding of mortgage securities, acquisition accounting practices, and balance sheet variances, I'm often flabbergasted at the difference. The point is that earnings are a by-product of many assumptions and choices made by management. The treatment of reserves, choice of a discount rate on contingent